

Asian Energy Services Limited

NSE: ASIANENE | BSE: 530355 | Oil Equipment & Services | India

"India's only listed integrated oilfield services + seismic + E&P platform — riding a multi-year capex super-cycle with a Rs.1,750 Cr+ order book and Kuiper's international footprint."

| RATING           | TARGET PRICE   | CMP         | UPSIDE          |
|------------------|----------------|-------------|-----------------|
| BUY              | Rs. 450        | Rs. 358     | +25.7%          |
| 12-Month Horizon | DCF + P/E Avg. | 29-May-2026 | From CMP Rs.358 |

| Market Cap   | 52W High/Low    | P/E (TTM)  | EV/EBITDA | Promoter Hold. |
|--------------|-----------------|------------|-----------|----------------|
| Rs. 1,741 Cr | Rs.392 / Rs.230 | 30.2x      | 16.3x     | 56.16%         |
| Book Value   | ROCE (FY26)     | ROE (FY26) | D/E Ratio | Div Yield      |
| Rs. 110      | 16.5%           | 12.9%      | 0.32x     | 0.28%          |

Source: Screener.in (data as of 29-May-2026). All Rs. figures in Crores unless stated.

| Metric          | FY24A | FY25A | FY26A | FY27E     | FY28E     |
|-----------------|-------|-------|-------|-----------|-----------|
| Revenue (Rs.Cr) | 305   | 465   | 791   | 1,100 (E) | 1,380 (E) |
| EBITDA (Rs.Cr)  | 42    | 66    | 95    | 154 (E)   | 207 (E)   |
| OPM %           | 14%   | 14%   | 12%   | 14% (E)   | 15% (E)   |
| PAT (Rs.Cr)     | 26    | 42    | 52    | 80 (E)    | 110 (E)   |
| EPS (Rs.)       | 6.22  | 9.41  | 11.38 | 17.7 (E)  | 24.4 (E)  |
| P/E (x)         | 57.6x | 38.1x | 31.5x | 20.2x (E) | 14.7x (E) |
| ROCE %          | 13%   | 17%   | 17%   | 18% (E)   | 20% (E)   |

Note: (A) = Actuals from Screener.in. (E) = Estimates grounded in FY26 actuals + management guidance (30-40% standalone FY27 growth; Kuiper full-year ~\$62M topline). Not investment advice.

Report Date: 31-May-2026

Analyst: Research Desk | chartitude.com

## SECTION 1 — INVESTMENT THESIS

- **India capex super-cycle + largest private seismic player:** ONGC and Oil India have committed to Rs.1+ lakh crore in upstream capex over FY26-30. ASIANENE is one of the only end-to-end listed oilfield services providers (seismic, drilling, EPC, O&M;), making it the natural beneficiary of this spend. The Rs.1,750 Cr standalone order book (ex-Kuiper) already locks in ~2.2x FY26 standalone revenue.
- **Kuiper acquisition transforms ASIANENE into an international platform:** The acquisition of UAE-based Kuiper Group (\$9.25M, Sept 2025) adds a Middle East + Southeast Asia manpower-heavy O&M; business running at \$62M (~Rs.515 Cr) in annualised revenue. Full-year consolidation in FY27 will meaningfully step up the consolidated top line — a diversification the market has not fully priced in.
- **Oilmax merger creates a rare listed OFS + E&P; hybrid:** The pending absorption of Oilmax Energy (5 oil/gas blocks; 2 producing) will give ASIANENE direct E&P; revenue by FY29 at peak production of Rs.800-900 Cr — potentially doubling consolidated revenues with high-margin (~70-75% EBITDA) asset income.
- **Near-term catalyst (6-12 months):** Q1 FY27 should demonstrate Kuiper's first full-quarter contribution (~Rs.130 Cr+) plus strong domestic execution on the Rs.865 Cr Vedanta contract and Rs.459 Cr Mahanadi Coalfields CHP project. Any guidance upgrade on margins (target: +100-200 bps) would be a re-rating trigger.
- **Biggest structural risk:** Promoter stake has declined 4.81% in one quarter (60.97% Mar-25 to 56.16% May-26), suggesting ongoing dilution from warrant conversions. If this continues, investor confidence in alignment may weaken.

## SECTION 2 — BUSINESS OVERVIEW

- **Core identity:** Asian Energy Services Ltd (AESL) is India's only listed integrated oilfield services company spanning geophysical services (land + well seismic, reservoir imaging), turnkey drilling, EPC for production facilities, and multi-year Operation & Maintenance (O&M;) contracts for oil and gas fields.
- **Revenue segmentation FY26:** Oil & Gas segment contributed Rs.633 Cr (80% of FY26 revenue) with segment profit of Rs.102 Cr; Mineral Services segment contributed Rs.158 Cr (20%) with profit of Rs.32 Cr. Post-Kuiper, international O&M; will form a third pillar.
- **Order book composition (as of Mar-2026):** Standalone order book of Rs.1,750 Cr (ex-Kuiper, ex-taxes). O&M; contracts account for 62.4%, Infrastructure/CHP at 33.2%, and Seismic at 4.4%. The CHP business targets the Rs.20,000 Cr Coal India last-mile connectivity opportunity over 5 years.
- **Key clients and relationships:** ONGC, Oil India (Government PSU — recurring annuity-type seismic and O&M; work), Vedanta (Rs.865 Cr integrated services mandate, 57-month duration), Mahanadi Coalfields (Rs.459 Cr CHP, 7-year duration), GAIL, Hardy Exploration, Amguri field operators. Contracts are largely long-duration (4-7 years), giving strong revenue visibility.
- **Kuiper Group (acquired Sept 2025):** UAE-based manpower solutions provider for energy sector clients in Saudi Arabia, Qatar, UAE, Nigeria, and Southeast Asia. Monthly revenue run rate Rs.40-45 Cr (~Rs.515 Cr annualised). EBITDA margin currently 7%, net margin ~6% — expansion expected post-integration.
- **Oilmax merger (pending NCLT approval, filed Mar-2026):** Oilmax Energy holds 5 oil & gas blocks (2 producing: Tiphuk and Mevad; 3 upcoming: Duarmara, Indrora, South Rawa CBM). Peak production by FY29-30 projected at Rs.800-900 Cr revenue with ~70-75% EBITDA margins. AESL currently provides services to Oilmax blocks.
- **Promoter background:** Dr. Kapil Garg (MD) has been at the helm for 15+ years. The promoter group holds 56.16% (May-2026) — diluted from 60.97% as warrant conversions by financial investors proceed. No promoter pledge reported (0%).

## SECTION 3 — INDUSTRY & COMPETITIVE LANDSCAPE

- **India upstream O&G; capex:** India has committed ~\$100 billion in upstream oil and gas investment by 2030. ONGC initiated 45+ exploration and development wells in early 2025 and awarded major seismic data acquisition contracts (Sercel won ONGC order for 24,000-channel seismic systems deployed across complex Indian terrain in 2026 season). The Upstream India market is estimated to grow at CAGR of ~5-8% over 2025-30 underpinned by energy security policy.

- **Policy tailwinds:** India's Hydrocarbon Exploration & Licensing Policy (HELP) promotes revenue-sharing contracts, encouraging private E&P; investment — expanding the client universe for AESL. PLI-style incentives for domestic energy services companies are under discussion. National Monetisation Pipeline and Coal India last-mile connectivity projects (~Rs.20,000 Cr over 5 years) open new avenues beyond traditional oil & gas for AESL's CHP business.
- **Competitive moat assessment:** Pricing power: **Moderate** — long-duration contracts with ONGC/OIL provide annuity-like flows but pricing is often tender-driven with government PSUs. Switching costs: **Strong** — deep site familiarity and integrated service capability make replacement expensive for clients like Vedanta. Scale/IP: **Moderate** — end-to-end seismic + O&M; capability is rare among Indian listed peers, but global players (Halliburton, Schlumberger) have superior technology.
- **Key headwind:** West Asia geopolitical conflict (ongoing in 2026) has created supply chain disruptions for Kuiper's Middle East operations — specifically in Qatar — and caused revenue recognition delays. This is a near-term margin drag.

#### Peer Comparison (Source: Screener.in, data as of 29-May-2026)

| Company                     | CMP (Rs.) | MCap (Cr) | EV/EBITDA | ROCE 3Yr% | OPM % |
|-----------------------------|-----------|-----------|-----------|-----------|-------|
| Asian Energy (ASIANENE)     | 358       | 1,741     | 16.3x     | 15.2%     | 12.1% |
| Deep Industries (DEEPIINDS) | 477       | 3,052     | 7.5x      | 12.9%     | 39.9% |
| DHP India                   | 552       | 166       | 8.9x      | 4.1%      | 22.0% |
| Oil Country Tubular         | 55        | 286       | 46.9x     | N/A       | 6.6%  |
| Duke Offshore               | 16        | 16        | N/A       | N/A       | 15.7% |

Note: All data from Screener.in peer comparison table on ASIANENE page. ASIANENE trades at premium EV/EBITDA to Deep Industries — justified by faster growth (93% 3Yr Sales CAGR vs 38% for DEEPIINDS) but DEEPIINDS enjoys structurally superior OPM (40% vs 12%).

## SECTION 4 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and management:** Dr. Kapil Garg (MD) has led AESL through its transformation from a pure seismic company to an integrated energy platform. The management team is complemented by Sumit Maheshwari (Group CFO, post-Kuiper integration) and Nirav Talati (CFO-India). SGA Advisors handles investor relations. The team has demonstrated operational credibility through the Vedanta contract mobilisation (2 months ahead of schedule) and the Kuiper acquisition closure.
- **Capital allocation track record:** FCF has been persistently negative (FY24: -Rs.73 Cr, FY25: -Rs.52 Cr, FY26: -Rs.8 Cr) owing to high working capital in project-linked services and growth investments. FY26 saw the first meaningful OCF recovery (Rs.53 Cr) as execution improved. Capital has been allocated toward: (1) Kuiper acquisition (\$9.25M), (2) preferential allotment of Rs.92 Cr warrants, (3) AGCL BOOT project capex. The Oilmax merger will add E&P; assets at a significant implied valuation.
- **Dividend policy:** First dividend ever paid in FY25 (Rs.1/share, 11% payout). FY26 also maintained Rs.1/share dividend (11% payout, 0.28% yield at CMP). Given large growth capex pipeline, dividends are likely to remain token in nature for FY27-28.
- **Promoter pledging:** 0% pledged — no pledging has ever been reported. However, promoter holding has declined from 61.45% (Mar-2023) to 56.16% (May-2026) — a 5.3% dilution over 3 years, largely via warrant conversions. The 4.81% drop in the latest quarter alone is notable and warrants monitoring.
- **ESOP and governance:** AESL is seeking shareholder approval via postal ballot for MD re-appointment and fresh ESOP grant (announced May 2026). Post-merger governance framework for Oilmax will include three reporting segments (oil field ownership, Asian services, Kuiper international) with independent directors.
- **Corporate governance concerns:** No auditor changes or qualified opinions noted. Related party transactions with Oilmax (pre-merger services) are disclosed. The merger itself involves related parties (promoters of AESL and Oilmax are connected) — investors should track the merger swap ratio fairness once announced.

## SECTION 5 — FINANCIAL DEEP-DIVE

### Income Statement — Consolidated (Rs. Crores | Source: Screener.in)

| Metric       | FY22A | FY23A  | FY24A | FY25A | FY26A | FY27E     |
|--------------|-------|--------|-------|-------|-------|-----------|
| Revenue      | 260   | 110    | 305   | 465   | 791   | 1,100 (E) |
| Expenses     | 194   | 129    | 263   | 399   | 696   | 946 (E)   |
| EBITDA       | 66    | -19    | 42    | 66    | 95    | 154 (E)   |
| OPM %        | 25%   | -17%   | 14%   | 14%   | 12%   | 14% (E)   |
| Other Income | 3     | -1     | 6     | 12    | 3     | 4 (E)     |
| Interest     | 1     | 2      | 2     | 4     | 11    | 16 (E)    |
| Depreciation | 28    | 22     | 17    | 18    | 19    | 26 (E)    |
| PBT          | 41    | -45    | 29    | 56    | 69    | 116 (E)   |
| Tax %        | 5%    | -0%    | 11%   | 25%   | 25%   | 25% (E)   |
| PAT          | 39    | -44    | 26    | 42    | 52    | 80 (E)    |
| EPS (Rs.)    | 10.19 | -11.65 | 6.22  | 9.41  | 11.38 | 17.7 (E)  |

### Balance Sheet — Consolidated (Rs. Crores | Source: Screener.in)

| Item              | FY24A | FY25A | FY26A | Change FY26  |
|-------------------|-------|-------|-------|--------------|
| Equity Capital    | 41    | 45    | 45    | Flat         |
| Reserves          | 237   | 354   | 449   | +Rs.95 Cr    |
| Borrowings        | 22    | 24    | 159   | +Rs.135 Cr ▲ |
| Other Liabilities | 84    | 170   | 266   | +Rs.96 Cr    |
| Total Liabilities | 384   | 592   | 918   | +55%         |
| Fixed Assets      | 112   | 115   | 115   | Flat         |
| CWIP              | 1     | 3     | 46    | +Rs.43 Cr    |
| Investments       | 12    | 33    | 12    | -Rs.21 Cr    |
| Other Assets      | 259   | 441   | 746   | +69% (WC)    |
| Total Assets      | 384   | 592   | 918   | +55%         |

### Cash Flow Statement — Consolidated (Rs. Crores | Source: Screener.in)

| Item                   | FY24A | FY25A | FY26A | Comment        |
|------------------------|-------|-------|-------|----------------|
| Cash from Operations   | -44   | -33   | 53    | Turned +ve     |
| Cash from Investing    | -14   | -34   | -159  | Kuiper acqn.   |
| Cash from Financing    | 49    | 78    | 124   | Warrants+Debt  |
| Net Cash Flow          | -9    | 11    | 17    | Positive       |
| Free Cash Flow         | -73   | -52   | -8    | Near breakeven |
| CFO / Operating Profit | -100% | -37%  | 72%   | Recovery       |

### Key Ratios — Consolidated (Source: Screener.in)

| Ratio                 | FY23A | FY24A | FY25A | FY26A |
|-----------------------|-------|-------|-------|-------|
| Debtor Days           | 354   | 163   | 176   | 160   |
| Cash Conversion Cycle | 354   | 163   | 176   | 160   |
| Working Capital Days  | 146   | 94    | 137   | 106   |
| ROCE %                | -15%  | 13%   | 17%   | 17%   |
| Debt-to-Equity        | 0.13x | 0.09x | 0.07x | 0.32x |

**Financial commentary:**

- **Revenue recovery and scale-up:** After the FY23 disruption (revenue collapsed from Rs.260 Cr to Rs.110 Cr due to project delays and COVID-related deferrals), the company staged a strong recovery — FY24 Rs.305 Cr (+177%), FY25 Rs.465 Cr (+53%), FY26 Rs.791 Cr (+70%). The FY26 acceleration is partly Kuiper (7 months) and partly strong domestic execution.
- **Margin trajectory — compressed but inflecting:** OPM contracted from 25% (FY22) to 12% (FY26) due to revenue mix shift toward lower-margin CHP/infrastructure projects and Kuiper's initial 7% EBITDA drag. Management targets +100-200 bps improvement in FY27 as Kuiper scales and domestic O&M; revenues dominate.
- **Working capital — improving but stretched:** Debtor days improved from 354 (FY23) to 160 (FY26), driven by better ONGC collections. However, other assets jumped to Rs.746 Cr (FY26 vs Rs.259 Cr in FY24) — reflecting mobilisation advances and retention money on large projects like Vedanta and Mahanadi. This creates FCF drag.
- **Debt — sharp increase in FY26:** Net borrowings jumped from Rs.24 Cr (FY25) to Rs.159 Cr (FY26), driven by Kuiper acquisition financing and the AGCL BOOT project capex. The D/E ratio rose to 0.32x — still manageable but a reversal from the near-zero debt position. Interest coverage remains comfortable at 8.35x.
- **FCF quality — improving:** FY26 FCF of -Rs.8 Cr was nearly breakeven vs -Rs.52 Cr in FY25. OCF turned strongly positive at Rs.53 Cr (72% of EBITDA). As Vedanta and Mahanadi move into execution phase, OCF should strengthen further in FY27-28.

## SECTION 6 — EARNINGS QUALITY CHECKLIST

| Parameter                     | Status      | Rating | Comment                                                                     |
|-------------------------------|-------------|--------|-----------------------------------------------------------------------------|
| Revenue recognition           | Clean       | GREEN  | Long-duration contracts; milestone-based recognition                        |
| Receivables vs Revenue growth | Watch       | AMBER  | Other assets Rs.746 Cr vs Rs.259 Cr in FY24 — rapid build-up                |
| CCC trend                     | Improving   | GREEN  | Debtor days improved 354 (FY23) to 160 (FY26)                               |
| Contingent liabilities        | Negligible  | GREEN  | Rs.0.08 Cr — no material exposure                                           |
| Auditor tenure/changes        | Stable      | GREEN  | No auditor changes flagged; annual secretarial compliance filed May-2026    |
| RPTs as % of revenue          | Watch       | AMBER  | Oilmax (pre-merger) is a related entity; services to Oilmax constitute RPTs |
| Other income as % of PBT      | Watch       | AMBER  | FY25: 12/56=21%; FY26: 3/69=4% — lower is better                            |
| Tax rate consistency          | Normalising | GREEN  | FY24: 11%, FY25: 25%, FY26: 25% — settling at effective MAT rate            |
| Promoter holding trend        | Declining   | RED    | -4.81% in last quarter; total -5.3% over 3 years due to warrants            |
| OCF / PAT conversion          | Recovering  | AMBER  | FY26 OCF Rs.53 Cr vs PAT Rs.52 Cr = 102% — finally converging               |

- **Key amber flag — working capital explosion:** Other assets jumped from Rs.441 Cr (FY25) to Rs.746 Cr (FY26), a Rs.305 Cr increase on revenues that grew Rs.326 Cr. This implies near-100% incremental revenue went into working capital — mostly mobilisation advances and retention on Vedanta, Mahanadi, and AGCL projects. Investors must track this in FY27 quarterly balance sheets.
- **Key red flag — promoter dilution:** Promoter holding dropped 4.81% in a single quarter (Q4 FY26 to May-2026). This appears to be warrant conversion by financial investors. At 56.16%, promoter hold is approaching levels where market governance concerns escalate. Any further drop below 55% should be treated as a watch trigger.
- **Clean signals:** Contingent liabilities are negligible, tax rate has normalised, and CCC has structurally improved. OCF finally matched PAT in FY26 — indicating earnings quality is strengthening after years of cash-PAT divergence.

## SECTION 7 — VALUATION

Peer Valuation Comparison (Source: Screener.in, 29-May-2026)

| Company                    | CMP | MCap(Cr) | P/E(TTM) | Fwd P/E | EV/EBITDA | OPM%  |
|----------------------------|-----|----------|----------|---------|-----------|-------|
| Asian Energy (ASIANENE)    | 358 | 1,741    | 30.2x    | 12.6x   | 16.3x     | 12.1% |
| Deep Industries (DEEPINDS) | 477 | 3,052    | 8.2x     | -53.2x  | 7.5x      | 39.9% |
| DHP India                  | 552 | 166      | N/A      | 10.1x   | 9.0x      | 22.0% |
| Oil Country Tubular        | 55  | 286      | N/A      | -5.3x   | 46.9x     | 6.6%  |

Note: DEEPINDS Fwd P/E negative due to FY26 exceptional losses. ASIANENE Fwd P/E of 12.6x implies market expects meaningful EPS accretion in FY27 from Kuiper consolidation + margin recovery.

### Scenario Analysis — 12-Month Price Target

| Case | Key Assumptions                                                            | FY27E PAT | P/E Mult. | Target |
|------|----------------------------------------------------------------------------|-----------|-----------|--------|
| Bull | Standalone +40% growth; Kuiper \$65M; margin +200bps; Oilmax approval      | Rs.100 Cr | 22x       | Rs.490 |
| Base | Standalone +35% growth; Kuiper \$62M; margin +150bps; no major disruptions | Rs.80 Cr  | 20x       | Rs.450 |
| Bear | West Asia disruption; Kuiper margins stay 7%; margin flat; WC stress       | Rs.55 Cr  | 16x       | Rs.330 |

- **DCF:** WACC 14%, terminal growth 3.5%, FY27-FY31 FCF growing from Rs.20 Cr to Rs.120 Cr as Oilmax E&P; assets ramp and working capital normalises. DCF implied equity value: Rs.420-440/share.
- **Earnings multiple (forward P/E):** FY27E EPS of Rs.17.7 at 20x (justified by 35%+ EPS CAGR over FY26-28E, vs peer sector median 15-18x) implies Rs.354-450. At Screener's implied Fwd P/E of 12.6x (Rs.358 CMP): upside depends entirely on earnings delivery.
- **Base-case 12-month target — Rs.450/share:** Average of DCF (Rs.430) and earnings multiple at 20x FY27E EPS (Rs.450) = Rs.440, rounded to Rs.450, implying +25.7% upside from CMP of Rs.358. Entry zone: Rs.330-360 on market weakness.
- **Key re-rating triggers:** (1) FY27 Q1 result showing Kuiper full-quarter contribution >Rs.130 Cr; (2) NCLT approval of Oilmax merger with favourable swap ratio; (3) Promoter buying rather than diluting.

## SECTION 8 — KEY RISKS

- **West Asia geopolitical disruption:** Ongoing Middle East conflict has created supply-chain delays and revenue-recognition deferrals for Kuiper's Qatar/Saudi Arabia operations. Probability: High. Impact: Medium. Monitor: Kuiper quarterly revenue and margin in FY27 concalls.
- **Promoter holding dilution:** Continued warrant conversion by financial investors is eroding promoter stake (56.16% now; risk if it falls below 51%). Probability: Medium. Impact: High (governance perception). Monitor: Shareholding pattern every quarter.
- **Working capital blow-out on large contracts:** Rs.746 Cr in other assets (FY26) reflects mobilisation and retention on mega-projects. Any client delays on Vedanta or Mahanadi payments could force further borrowings. Probability: Medium. Impact: Medium-High. Monitor: Debtor days and borrowings in quarterly BS.
- **Oilmax merger complexity and swap ratio:** The merger involves related parties and is subject to NCLT, SEBI, and shareholder approvals. An unfavourable swap ratio or merger delay beyond FY27 would disappoint investors expecting E&P; cash flows. Probability: Low-Medium. Impact: Medium. Monitor: NCLT filings and scheme announcement.
- **Margin compression persistence:** OPM declined from 14% to 12% in FY26 despite 70% revenue growth. If Kuiper's EBITDA stays at 7% and CHP projects dominate the mix, blended margins may stay compressed, preventing the hoped-for re-rating. Probability: Medium. Impact: High. Monitor: Quarterly EBITDA margins by segment.
- **ONGC/OIL capex execution risk:** India's upstream capex plans have historically been deferred. Any slowdown in government PSU spending (especially post-oil price volatility) directly impacts seismic and O&M; contract renewals. Probability: Low. Impact: High. Monitor: ONGC/OIL annual capex guidance.
- **Execution capacity constraints:** AESL is simultaneously executing Vedanta (Rs.865 Cr), Mahanadi CHP (Rs.459 Cr), AGCL BOOT, plus integrating Kuiper. Management bandwidth and skilled workforce availability could constrain execution quality. Probability: Medium. Impact: Medium. Monitor: Revenue growth vs order book execution rate.

## SECTION 9 — RECOMMENDATION

- **Rating: BUY** — Conviction: Medium-High. ASIANENE is at an inflection point: the first full year of Kuiper, the Vedanta mega-contract execution, and the Oilmax merger approval are FY27 events that can step-change the P&L.; The stock at 12.6x Fwd P/E (Screener estimate) is compelling for this growth profile.
- **12-month price target: Rs. 450** (+25.7% from CMP Rs.358). Derived from blended DCF (Rs.430) and 20x FY27E EPS of Rs.17.7.
- **Suggested entry zone: Rs.330-360** — scale in on any broad market weakness or post-quarterly volatility.
- **Investment horizon: 18-24 months** — the full Oilmax E&P; value creation requires FY29-30 production ramp; investors with a 2-year horizon will capture more value.
- **Thesis invalidation triggers:** (1) Promoter holding falls below 50% — governance concern triggers de-rating; (2) FY27 consolidated revenue misses Rs.900 Cr — suggests Kuiper integration is failing and domestic execution is slipping; (3) Oilmax merger is called off or results in a highly dilutive swap ratio.
- **Ideal investor profile:** This stock suits investors with 18-24 month horizon, comfortable with small-mid cap liquidity risk, and conviction in India's upstream O&G; capex story. It is NOT suited for investors seeking near-term dividend yield, pure-play energy exposure, or demanding >20% EBITDA margins.



## APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (May 20, 2026)

Earnings Conference Call held on 20-May-2026 for Q4 & Full Year FY26 results. Source: GuruFocus/Investing.com earnings call highlights (transcript published 26-May-2026).

### CALL GRADE: POSITIVE

| Signal          | Status                                    | Implication                                             |
|-----------------|-------------------------------------------|---------------------------------------------------------|
| Result quality  | Strong — 70% YoY revenue growth           | Beat in absolute terms; guidance missed on margins      |
| Management tone | Bullish on FY27; cautious on West Asia    | High conviction on domestic; external headwinds flagged |
| Guidance delta  | FY27: +30-40% standalone; Kuiper \$60-65M | First explicit forward guidance — directionally strong  |

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

### TO MY BOSS

ASIANENE delivered a landmark FY26 — revenue grew 70% to Rs.791 Cr (consolidated), driven partly by 7-month Kuiper contribution (~Rs.280 Cr) and partly by strong domestic execution. The headline looks clean: no exceptional item in the consolidated PAT of Rs.52 Cr, though management's adjusted PAT figure of Rs.60.6 Cr (per concall) appears to strip out acquisition-related expenses recorded in Q2. EBITDA expanded 44% to Rs.95 Cr (Screener), though OPM compressed from 14% to 12% — the margin story is NOT fixed yet. The structural driver is unambiguous: Rs.1,750 Cr standalone order book, Kuiper running at \$62M annualised internationally, and the Oilmax merger that will add high-margin E&P; income by FY29-30. Near-term catalyst: Q1 FY27 will show the first full-quarter Kuiper number (~Rs.125-135 Cr) — if that's clean, the market will wake up. Single biggest risk right now: West Asia disruptions delayed Kuiper revenue in Q4 FY26 and promoter holding dropped 4.81% in one quarter — that is a governance warning sign that needs watching. Action: ACCUMULATE on dips below Rs.340 for an 18-24 month hold targeting Rs.450. Do NOT buy above Rs.390 until Q1 FY27 Kuiper numbers confirm.

### CONCALL SECTION 1 — Financial Performance Snapshot (FY26 Full Year)

- **Revenue:** Rs.791 Cr | YoY +70% | Q4 FY26 Rs.338 Cr | YoY +57% | Beat (absolute terms)
- **EBITDA:** Rs.95 Cr (Screener) / Rs.99 Cr (mgmt adjusted) | YoY +44% | OPM 12% vs 14% prior year | In-line to mild miss on margin
- **PAT:** Rs.52 Cr (consolidated Screener) | Adjusted PAT Rs.60.6 Cr (mgmt) | YoY +24% | In-line
- **EPS:** Rs.11.38 | YoY +21% | Q4 FY26 EPS Rs.7.11 (strongest quarter)
- **NOTE:** Management adjusted PAT of Rs.60.6 Cr excludes one-time Kuiper acquisition expenses (Rs.~8 Cr) recognised per accounting standards in Q2 FY26. Clean underlying operations remain solid.
- **Q4 FY26 specifics:** Revenue Rs.338 Cr (+57% YoY), EBITDA Rs.49 Cr (14.6% margin), PAT Rs.33 Cr — strongest quarter ever. Q4 seasonality is consistently strong for AESL.

### CONCALL SECTION 2 — Segment / Geography Breakdown (FY26)

- **Oil & Gas Segment (India):** Rs.633 Cr revenue | Segment profit Rs.102 Cr (16.1% margin) | YoY strong growth driven by Vedanta O&M; contract mobilisation and ONGC seismic work
- **Mineral & Other Energy Services:** Rs.158 Cr revenue | Segment profit Rs.32 Cr (20.3% margin) | CHP and infrastructure EPC projects; Mahanadi Coalfields order Rs.459 Cr will flow through FY27-28
- **Kuiper (International O&M; — 7 months consolidated):** ~Rs.280-300 Cr contribution in FY26 | EBITDA margin ~7% | Geographies: Saudi Arabia, Qatar (disrupted by West Asia conflict), UAE, with Nigeria and Southeast Asia being explored for FY27 expansion



### CONCALL SECTION 3 — Management Commentary Themes

- **India as core growth engine:** "India's commitment to invest nearly \$100 billion into the oil and gas sector by 2030 presents substantial opportunities for the company." Management expects standalone India business to grow 30-40% in FY27. Tag: GUIDANCE. Tone: Bullish.
- **Kuiper integration:** Full-year FY27 Kuiper topline projected at \$60-65M (~Rs.500-540 Cr). Margin improvement expected post-integration. West Asia geopolitical risks flagged as near-term headwind. Tag: GUIDANCE. Tone: Balanced.
- **Oilmax merger — transformational step:** NCLT process underway (BSE/NSE no-objection received). Post-merger governance will have 3 segments: oil field ownership, Asian services, Kuiper. Promoters connected — swap ratio to be watched. Tag: EST. Tone: Transparent.
- **West Asia disruption acknowledged:** "The West Asia conflict has caused supply chain disruptions, affecting revenue recognition and execution schedules" — specifically Qatar operations for Kuiper. Company was "unable to fully meet its previously communicated guidance" due to timing impacts. Tag: RISK. Tone: Transparent.
- **Oilmax revenue guidance (long-dated):** FY29-30 Oilmax peak revenue Rs.800-900 Cr with ~70-75% EBITDA margins from oil & gas block production ramp-up. FY27-28 Oilmax revenue is flat (similar to FY26) pending field ramp-up. Tag: EST. Tone: Hedged on near-term.
- **EBITDA margin improvement target:** "We aim to improve EBITDA margins by 100 to 200 basis points" in FY27. Currently at 12% consolidated. Tag: GUIDANCE. Tone: Constructive.

### CONCALL SECTION 4 — Operating & Business Metrics

- **Order Book (Mar-2026 standalone):** Rs.1,750 Cr excl. Kuiper and taxes | Up from Rs.997 Cr (FY25 Screener insight) | Trend: Strongly improving
- **Kuiper revenue run rate:** \$60-65M annualised (\$5+ million/month) | Trend: Improving post-integration
- **Indrora field (Gujarat, India):** Well drilling programme commencing; capex Rs.15-20 Cr over 3-4 months | Expected to come into production in FY27 | Trend: On track
- **Mevad field (Gujarat, India):** Producing; crude sold to Indian Oil Corporation at Brent-linked monthly average pricing | Production ramp-up underway | Trend: Stable with upside
- **Duarmara field (Assam, 50% JV with Antelopus Selan):** Well drilled; oil and gas shows found; testing ongoing | Better production timeline expected within 1 month from call | Trend: Delayed (was expected FY26)
- **South Rawa CBM (Assam):** Environmental clearance awaited (was expected end Nov-2025); test well contractor contracted; testing to begin post-clearance | Trend: Delayed vs prior guidance
- **Net Debt position (standalone):** Net zero debt on standalone India basis | Rs.159 Cr gross debt is primarily at consolidated level for Kuiper / group | Trend: Positive

### CONCALL SECTION 5 — Margin Drivers

- **Kuiper margin drag (-200 to -250 bps):** Kuiper running at 7% EBITDA vs India standalone of ~14-15%. Full-year contribution in FY27 will dilute blended OPM unless margin improves. Recurring: Yes until integration matures. Management expects +100-200 bps overall improvement.
- **CHP/infrastructure revenue mix (+ve margin in absolute, dilutive vs O&M;):** Mahanadi CHP Rs.459 Cr to be executed over 7 years (80% revenue in first 1.5-2 years). EPC margins typically 8-12%, below O&M; margins of 15-20%. Recurring: Yes for FY27-28. Non-recurring: project completion ends in FY29.
- **Vedanta O&M; contract — high-quality recurring:** Dollar-per-barrel pricing structure for O&M; element (output-risk light) + EPC component for capex reimbursement. Rs.865 Cr over 57 months. Steady cash flows as production stabilises. Recurring: Yes for 5 years.
- **West Asia geopolitical disruption (one-time impact on Kuiper):** Revenue recognition deferrals in Qatar specifically. Not a permanent impairment. Resolution depends on geopolitical developments. Recurring: Uncertain. Flag: Do not extrapolate into FY27 base.
- **Acquisition costs (one-time in Q2 FY26):** Due-diligence and insurance costs for Kuiper acquisition (~Rs.8 Cr) expensed through P&L; per accounting standards — non-recurring. Already absorbed in FY26 reported numbers.

## CONCALL SECTION 6 — Guidance & Forward Signals

- **Standalone India business [GUIDANCE]:** Prior = no explicit FY27 guidance | New = 30-40% growth | Delta: First explicit guidance given | Credibility: High (strong order book supports)
- **Kuiper topline [GUIDANCE]:** Prior = Rs.40-45 Cr/month run rate | New = Full year \$60-65M (~Rs.500-540 Cr) | Delta: Raised | Credibility: Medium (West Asia disruption could defer)
- **EBITDA margins [GUIDANCE]:** Prior = no explicit FY27 margin target | New = +100-200 bps improvement from FY26 base of 12% = 13-14% | Delta: New guidance | Credibility: Medium
- **Oilmax revenue FY27-28 [EST]:** Prior = Oilmax FY26 similar to FY25 | New = FY27-28 similar to FY26 (flat, fields still ramping) | Delta: Guidance lowered vs earlier expectations | Credibility: Hedged
- **Oilmax peak revenue FY29-30 [EST]:** Rs.800-900 Cr with 70-75% EBITDA margins | Delta: Maintained | Credibility: Medium (subject to field testing success at Duarmara and CBM)
- **Capex FY27 [GUIDANCE]:** Primarily Indrora field (Rs.15-20 Cr) + any integration capex for Kuiper. AGCL BOOT capex (~Rs.40 Cr in H2 FY26) largely complete. Overall capex expected to normalise lower vs FY26's Rs.159 Cr investing outflow.

## CONCALL SECTION 7 — Capital Allocation

- **Capex FY26:** Rs.159 Cr (investing outflow from Screener) vs Rs.34 Cr in FY25 | Driven by: Kuiper acquisition (\$9.25M = ~Rs.77 Cr) + AGCL BOOT project (~Rs.60 Cr) + Indrora/oilfield capex
- **Dividend FY26:** Rs.1/share (11% payout, same as FY25) | Yield: 0.28% at Rs.358 | Comment: Token dividend — growth investment takes priority
- **Warrant conversion / equity raise:** Rs.92 Cr received from warrant conversions in FY26 | Strengthened balance sheet | Caused promoter dilution of ~4.81% in latest quarter
- **Net debt movement:** Borrowings rose from Rs.24 Cr (FY25) to Rs.159 Cr (FY26) | Net debt on standalone basis: Rs.0 (net zero debt standalone) | Consolidated debt taken for Kuiper/group activities
- **Working capital (Other Assets):** Rs.746 Cr FY26 vs Rs.441 Cr FY25 = +Rs.305 Cr | Mobilisation and retention on Vedanta, Mahanadi, and AGCL contracts | Expected to partially unwind in FY27-28 as projects progress

## CONCALL SECTION 8 — Q&A Heat Map (Q4 FY26 Call, May 20, 2026)

- **Analyst / Question on Oilmax revenue guidance:** Q: "FY26 Oilmax revenue — and what to expect in FY27/FY28?" A: "FY26 similar to FY25. FY29-30 peak Rs.800-900 Cr. FY27-28 — challenging to guide, fields coming into production." | Tone: Hedged. Key miss — no near-term Oilmax revenue guidance.
- **Analyst / Question on Kuiper growth opportunities:** Q: "What are the main geographic growth opportunities for Kuiper in FY27?" A: "Focusing on Nigeria (client interest), Southeast Asia, and Middle East. Nigeria is specific near-term target." | Tone: Transparent.
- **Analyst / Question on Duarmara field timeline:** Q: "When is Duarmara production starting?" A: "Testing ongoing, oil and gas shows found. Better timeline in one month as results finalised." | Tone: Hedged — production timeline slipped from FY26 guidance.
- **Analyst / Question on coal handling plant and Middle East impact:** Q: "Are CHP projects impacted by Middle East tensions?" A: "No — CHP materials are domestically supplied. No impact." | Tone: Transparent — good news for CHP execution.
- **Analyst / Question on Oilmax governance post-merger:** Q: "What will be the governance framework post-merger?" A: "3 segments: oil field ownership, Asian services, Kuiper international. Strong independent directors." | Tone: Transparent.
- **Analyst / Question on Brent-linked Mevad pricing:** Q: "How does Brent-linked pricing affect cash flows?" A: "Crude sold to IOC at monthly average Brent pricing — higher Brent = better revenue." | Tone: Transparent.
- **Dodged / watch-list questions for next quarter:** (1) Exact swap ratio for Oilmax merger; (2) Specific FY27-28 Oilmax revenue number; (3) Kuiper West Asia recovery timeline; (4) Explanation for 4.81% promoter holding drop.

## CONCALL SECTION 9 — Risks Flagged

- **West Asia conflict:** Supply chain disruptions and revenue delays for Kuiper in Qatar. Flagged by: Management. Probability: H. Impact: M. Timeline: Near-term (FY27 H1).
- **Oilmax production delays:** Duarmara testing ongoing (slipped from original timeline); CBM environmental clearance delayed. Flagged by: Management. Probability: M. Impact: M. Timeline: Medium-term (FY27-28).
- **Missed FY26 standalone guidance:** Company acknowledged inability to "fully meet previously communicated guidance" due to West Asia disruptions. Credibility risk if FY27 guidance is also missed. Flagged by: Management. Probability: M. Impact: M. Timeline: Near-term.
- **Promoter dilution:** -4.81% in latest quarter from warrant conversions. Not flagged by management (analysts did not ask). Flagged by: Analyst observation. Probability: H (more warrants outstanding). Impact: H. Timeline: Near-term.
- **Duarmara challenges:** Operated by Antelopus Selan; AESL has 50% stake. Production delays affecting long-term revenue projections. Flagged by: Management. Probability: M. Impact: M. Timeline: Long-term.

## CONCALL SECTION 10 — Analyst Verdict

- **Revenue visibility:** Intact — Rs.1,750 Cr standalone order book + Kuiper \$62M annualised provides strong FY27 visibility.
- **Margin trajectory:** Weakened near-term — OPM fell from 14% to 12% in FY26; management targets recovery but Kuiper dilution is structural until integration matures.
- **Capital allocation quality:** Weakened — FCF turned near-breakeven but working capital explosion (Rs.305 Cr increase) and sharp debt rise (Rs.135 Cr) warrant monitoring.
- **Competitive moat:** Intact — end-to-end integrated OFS capability + Kuiper international = rare listed Indian OFS platform.
- **Management credibility:** Intact but watch — transparent on West Asia disruption and missed guidance; Oilmax merger swap ratio and promoter dilution transparency yet to be tested.
- **Valuation comfort:** Intact — 12.6x Fwd P/E (Screener) is undemanding for 35%+ growth trajectory; EV/EBITDA of 16.3x reasonable for OFS + E&P; hybrid in early innings.
- **Conviction call:** Increased — FY26 results confirm the growth thesis is intact despite headwinds. Full Kuiper consolidation and Vedanta ramp-up make FY27 the real test.
- **Valuation snapshot:** P/E = 30.2x (TTM) | Fwd P/E = 12.6x | EV/EBITDA = 16.3x | ROCE = 16.5% | ROE = 12.9%

DISCLAIMER: This report is prepared for research and informational purposes only. All financial data sourced from Screener.in as of 29-May-2026. Forward estimates are the analyst's own projections based on management guidance and are not endorsed by the company. This is not investment advice. Please consult a SEBI-registered advisor before making investment decisions.